

depreciation reserve remains unexpended over a long period of time. In these instances a reduction of the annual charges may sometimes be justified in the investor's calculations, as we shall later explain. The broad principle remains, however, that an adequate depreciation allowance is essential in arriving at a fair statement of earnings.

Other Misleading Practices. Another fairly prevalent practice was the deduction of only part of the depreciation charge from earnings, the balance being taken out of the surplus account. In some instances the amounts charged to income were based on the so-called "indenture minima"—a percentage of gross earnings for maintenance and depreciation combined required to be deducted under the terms of a bond issue. When these indenture minima were less than the depreciation actually needed and taken, we find that requirements ostensibly set up for the protection of investors were actually used to mislead them.³

It is unfortunate that something resembling this practice has been resorted to at times by conservatively managed companies. Note the following in the reports of the Detroit Edison Company for 1931 and 1930.

Item	1931	1930
Gross	\$49,233,000	\$53,707,000
Net before depreciation	21,421,000	24,041,000
Depreciation	4,000,000	6,900,000
(Per cent of gross)	8.1%	12.8%
Fixed charges	5,992,000	6,024,000
Balance for common	11,429,000	11,117,000
Earned per share	\$8.98	\$8.75
Additional depreciation charged to surplus	1,500,000	
Earned per share after charge to surplus	\$7.80	\$8.75

Although Detroit Edison's depreciation charges have been unusually liberal by comparison with the average for the industry, the accounting method employed for 1931 (and also in 1934) might well be criticized for two reasons. In the first place its effect, if not its purpose, was to disguise

³ In the case of Cities Service Power and Light, these understatements of depreciation appeared both in the annual reports and in the bond-offering circulars. For the data relating to 1925 see the discussion in Chap. 12.